PAHADI KHATKI

"Thodi Khatti, Thodi Teekhi, Poori Pahadi"

Official Business, Operations & SOP Manual — Version 1.0 (Confidential)

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1. Business Model & Division of Responsibilities

Pahadi Khatki is a Direct-to-Consumer (D2C) food venture delivering authentic, handcrafted Himachali non-veg pickles (Chicken, Mutton, Fish) directly from Himachal Pradesh to consumers across India. The venture functions on a lean, two-location partnership model:

Himachal Team (Partner Desk)

- Sourcing local fresh chicken, pure mustard oil, and authentic pahadi spices.
- Cooking in small, consistent batches with strict hygiene.
- Bottling in glass jars with exact 250g net food weight.
- Safe 4-layer packaging & handing parcels to Shiprocket pickup boy.

Chennai Command (Arun Desk)

- Building and managing website, admin portal, and order desk.
- Online marketing, Instagram reels, and paid ads for orders.
- Razorpay payment gateway & finance management.
- Customer support and automated Shiprocket courier booking.

Profit Sharing Principle: Flat 50% / 50% Net Split

All net profits will be split equally (50% Himachal / 50% Chennai). Net Profit = Customer Revenue minus direct expenses (Raw Material + Packaging Materials + Courier Delivery + Payment Gateway fee). Neither partner takes a salary during the initial launch phase; all profits flow equally.

2. Critical Misunderstandings & Rules to Follow ('Kya Nahi Karna Hai')

During planning, 3 major misunderstandings were identified. If these are not corrected immediately, they can lead to legal notices from the Food Ministry (FSSAI), consumer court complaints, or ruined customer trust:

Rule #1: Net Weight vs Courier Gross Weight (Strict Legal Rule)

• The Misunderstanding: Thinking that the jar should weigh 200g or 250g including the packaging box and jar weight.
• The Law (Legal Metrology & FSSAI): When a food label says 'Net Quantity: 250g', it legally means ONLY the edible food inside the jar (chicken meat + mustard oil + spices). It does NOT include the glass jar, cap, or outer box.
• How to Handle Courier: A glass jar weighs ~180g, food weighs 250g, and corrugated box + bubble wrap weighs ~70g. Total shipping weight will be ~500g (0.5 kg). In Shiprocket, we will always book the 0.5 kg slab. The courier charges for 500g, while customer gets full 250g food.

Rule #2: Glass Jar vs Plastic Jar (Non-Veg Achaar Safe Storage)

NEVER Use Plastic Jars (PET):
Non-veg pickles use hot mustard oil, salt, and vinegar (acetic acid). Acid reacts with plastic polymers, creating health hazards and

synthetic off-flavors. Plastic absorbs meat odors and screw threads expand during warm transit, causing guaranteed oil leakage.

ALWAYS Use Food-Grade Glass Jars + Air Bubble Wrap:
Glass is 100% non-reactive, preserves authentic mountain taste for 6+ months, and provides a premium look matching our ₹399 price point. Breakage protection: Wrap with 50 GSM 3-layer bubble wrap or inflatable air column sleeves (Do NOT use thermocol as it crumbles and is messy).

⚖ Rule #3: FSSAI vs GST Clarification

• FSSAI Registration (Mandatory Before Launch): Food safety registration is non-negotiable. We will apply for Basic Registration (Form A) via the FoSCoS portal. It costs only ₹100 per year, is approved in 3–5 working days, and requires only the Himachal partner's Aadhaar card and kitchen address proof.
• GST Registration (NOT Required Right Now): Under Indian tax laws, intra-state and e-commerce threshold for small home food makers selling directly via their own website is exempt up to ₹40 Lakhs annual turnover. We do not need GST initially, saving monthly accountant filing fees.

3. Detailed Chicken Pickle Costing & Economics (At ₹300/kg Chicken)

The following unit economics are calculated per single 250g net weight glass jar. Calculations account for boneless meat shrinkage during frying (1kg raw chicken yields ~600g cooked boneless meat):

Category	Component Description	Per 1kg Batch	Per 250g Jar
Raw Material	Fresh chicken (boneless meat ~600g post-fry yield)	₹300.00	₹75.00
Raw Material	Pure Kachi Ghani Mustard Oil (300ml)	₹45.00	₹11.25
Raw Material	Pahadi masala blend, ginger, garlic, rock salt, vinegar	₹50.00	₹12.50
Raw Material	Cooking fuel / LPG gas allocation	₹15.00	₹3.75
Subtotal	**Raw Edible Food Cost per 250g Jar**	-	**₹102.50 (~₹105)**
Packaging	250ml Food-grade Glass Jar + Gold Metal Lug Cap	-	₹18.00
Packaging	Waterproof Vinyl Labels (Front Brand + Back Details)	-	₹6.00
Packaging	PVC Heat-Shrink Tamper Band + Foam Wad Seal	-	₹1.50
Packaging	3-Ply Hard Corrugated Outer Box	-	₹8.00
Packaging	Air Column Sleeve / 50 GSM 3-Layer Bubble Wrap	-	₹6.00
Packaging	Fragile warning tape & courier adhesive label	-	₹2.00
Subtotal	**Safe Packaging Materials per Jar**	-	**₹41.50**
Logistics	Pan-India Shipping via Shiprocket (0.5kg slab)	-	₹80.00
Payment Gateway	Razorpay Online Payment Processing Fee (2% of ₹399)	-	₹8.00

TOTAL COST	**TOTAL LANDED COST TO PRODUCE & DELIVER 1 JAR**	-	**₹234.50**

Profit Margin Summary: ₹164.50 Clean Profit Per Jar (~41.2% Margin)

- Customer Selling Price: ₹399.00 (Includes Free Pan-India Delivery)
- Total Direct Cost to Produce & Deliver: ₹234.50
- Net Clean Profit Per Jar: ₹164.50

Monthly Shared Earnings (50/50 Split):

- 50 Jars/month (Test Month): ₹8,225 Total Profit (₹4,112 each)
- 100 Jars/month (Month 2): ₹16,450 Total Profit (₹8,225 each)
- 300 Jars/month (Month 4): ₹49,350 Total Profit (₹24,675 each)
- 1,000 Jars/month (Scale Month 8): ₹1,64,500 Total Profit (₹82,250 each)

4. Safe 4-Layer Packaging Standard Operating Procedure (SOP)

Non-veg pickle transit across 2,000+ km from Himachal Pradesh involves rough mountain roads, sorting hub drops, and changes in atmospheric pressure. Packaging must follow this exact 4-step SOP to achieve zero leakage and zero breakage:

• **Step 1: Food Filling & Headspace Inspection:** Leave 0.5 inches of headspace at the top of the glass jar. Ensure pickle pieces are completely submerged in mustard oil (oil acts as a natural preservative preventing fungal growth). Thoroughly wipe the glass neck and screw threads with a clean dry cotton cloth before placing the cap.

• **Step 2: Foam Wad Gasket & Lug Cap Tightening:** Place an induction foam wad gasket inside the metal lug cap. Screw the cap on tightly until fully locked. The plastisol liner compressed against the rim creates an airtight barrier that stops liquid oil from creeping through threads.

• **Step 3: PVC Heat Shrink Sleeve (Tamper & Leak Lock):** Slide a clear perforated PVC shrink band over the cap and neck. Use a standard electric hair dryer set on high heat for 3 to 5 seconds. The plastic will shrink tightly around the rim, forming a solid physical lock that guarantees the cap cannot loosen during transit vibrations.

• **Step 4: Cushioning & 3-Ply Box Enclosure:** Wrap the glass jar with 3 full rotations of 50 GSM bubble wrap (or slide into an inflatable air column bag). Place inside the snug 3-ply corrugated box. Fill any void spaces with crumpled kraft paper so the jar does not move. Tape with reinforced tape, paste the Shiprocket AWB barcode on top, and add a 'FRAGILE / GLASS' sticker.

5. Payment Collection & Bank Account Setup

• Phase 1 (Starting Stage - Months 1 to 3):
- Use an existing Personal Savings Account.
- Create a Razorpay Individual Merchant Account (KYC requires only PAN card, Aadhaar, and cancelled cheque — NO GST required).
- Razorpay settles customer payments directly into the savings account on an automated T+2 day schedule.

• Phase 2 (Growth Stage - When daily orders reach 10+):
- Register a partnership firm or LLP under MSME / Udyam (Free online portal).
- Apply for voluntary GST once order volume scales.
- Open a dedicated Current Account (HDFC/ICICI) under the firm name 'Pahadi Khatki'.

6. Corrected Priority Action Roadmap (What We Must Do This Week)

Do not invest in large-scale website marketing or bulk sticker printing yet. Follow this ordered roadmap:

Priority	Task Name	Exact Action Required	Assigned To
PRIORITY 1	**5-Jar Pilot Batch Test**	Himachal partner cooks 1kg batch, packs 2 jars with 4-layer SOP, and couriers to Chennai. Inspect for zero leakage and taste retention after 5 days transit.	**Himachal**
PRIORITY 2	**FSSAI Registration**	Apply on FoSCoS portal for Basic Registration (₹100/yr). Upload Aadhaar and HP kitchen proof.	**Both**
PRIORITY 3	**Sample Packaging Stock**	Procure 30 glass jars (250ml), 30 lug caps, 50 PVC shrink bands, and 1 roll of bubble wrap.	**Himachal**
PRIORITY 4	**Short-Run Label Print**	Print 50 oil-proof vinyl stickers from a local print shop (Front branding + Back FSSAI details).	**Chennai**
PRIORITY 5	**Shiprocket Pickup Setup**	Register Shiprocket account. Set pickup warehouse address as Himachal partner kitchen.	**Chennai**
PRIORITY 6	**Storefront Soft Launch**	Connect Razorpay to storefront. Take first 15–20 orders from close friends, family, and Instagram.	**Chennai**